INDIAKART BUSINESS PERFORMANCE REPORT

To: Chief Executive Officer, IndiaKart

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Subject: Overall business health, key findings, risks, and growth opportunities

This report is based on the company's full dataset: 50,000 orders, 10,000 registered customers, plus product, payment, return, and warehouse inventory records covering mid-2020 through mid-2025.

1. EXECUTIVE SUMMARY

IndiaKart is fundamentally a healthy business with a large and loyal customer base, but it has stopped growing. Over the last five years the company has processed 50,000 orders worth about 2.9 billion rupees, and roughly two out of every three orders reach the customer successfully. Our customers are mostly steady, mid-market shoppers, and nearly 9 out of every 10 payments now come through digital methods, which keeps collections fast and reliable. However, new customer sign-ups have been flat at around 165 per month for five straight years, so all current momentum is coming from existing buyers. The two most urgent warnings in the data are that about 1 in 5 orders comes back as a return, and that more than half of all sales depend on a single product category, Electronics. If we fix returns and reignite customer growth, the business is well positioned to grow again.

2. TOP 3 FINDINGS

Finding 1: One product category carries more than half the company.

Electronics generates about 1.64 billion rupees, roughly 57% of total sales. The next largest category, Sports & Fitness, is only about 497 million. When one category is this dominant, a slowdown there hits the whole company.

Finding 2: Digital payments have won, and Cash on Delivery is fading.

UPI alone handles 35% of all orders (17,570 orders), and all digital methods together handle about 88%. Cash on Delivery is down to about 12%. This means faster, safer money collection and lower payment-failure risk.

Finding 3: Our strength is loyal, mid-market customers - not new ones.

65% of our 10,000 customers are Regular or Budget shoppers, and only about 5% have gone inactive. But new registrations have stayed between roughly 140 and 200 per month since mid-2020, with no upward trend. The customer base is solid but not expanding.

3. RISKS IDENTIFIED

- Returns are high and spread everywhere: about 20% of orders come back

(roughly 10,000 returns), and no single reason dominates - the ten return reasons each account for roughly 480 to 1,200 cases. Because the causes are spread out (wrong size, damage in transit, wrong item, changed mind), there is no quick single fix; this needs a broad program.

- Cancellations cost real money: 5,996 orders (about 12% of all orders) were

cancelled. Together, cancellations and returns put roughly one-fifth of all order volume at risk.

- Revenue concentration: with Electronics at 57% of sales, any supply issue,

price war, or demand drop in that category would damage total revenue immediately.

- Flat customer growth: acquisition has been stuck at ~165 new customers per

month for five years. Meanwhile 480 existing customers have gone inactive.

- Stock-out exposure: 78 of 1,000 warehouse inventory lines (7.8%) are already

flagged Low Stock or Out of Stock, with items sitting at 8-30 units against reorder points of 30-50. Mumbai-WH1 holds the smallest buffer of the six warehouses (32,400 units vs. up to 47,400 elsewhere).

4. OPPORTUNITIES

- Grow the second tier of categories. Fashion (148 million), Home & Kitchen

(244 million), and Automotive (123 million) already have real sales and can be grown with focused promotions, reducing our dependence on Electronics.

- Monetize the customers we already have. Converting even part of the 1,488

"New" customers into regular buyers, and winning back the 480 inactive ones, is cheaper than acquiring strangers - and the flat signup trend makes this the most reliable growth lever available.

- Recover money lost to returns and cancellations. Every 1% reduction in the

return rate protects roughly 25-30 million rupees of sales per year. Since return reasons are spread across many causes, a series of small fixes (sizing help, packaging, accurate descriptions) adds up quickly.

- Use our balanced warehouse network as a strength. Stock is spread evenly

across six warehouses, so faster replenishment and redistribution between them is an operational task, not a capital project.

5. RECOMMENDATIONS

1. **Launch a "Return Reduction Program" this quarter. Add size guides and**

photos for apparel, double-check fragile-item packaging, and audit product descriptions for accuracy. Target: bring the ~20% return rate below 15% within two quarters, and report the number monthly on the Operations dashboard.

2. **Set up automatic low-stock alerts. Today 78 inventory lines are below or**

near their reorder levels. Configure an automatic alert (the Inventory Alert dashboard already tracks these) so purchasing reorders before items run out, starting with Mumbai-WH1.

3. **Run a win-back and conversion campaign. Contact the 480 inactive customers**

with a targeted offer, and give the 1,488 newest customers a reason to make a second purchase within 60 days. Track both groups monthly on the Customer Insight dashboard.

4. **Deliberately grow non-Electronics categories. Pick Fashion, Home & Kitchen,**

and Automotive for seasonal promotions and cross-sell bundles with Electronics orders. Goal: raise their combined share of revenue over the next four quarters to reduce single-category risk.

5. **Keep backing UPI, and watch Cash on Delivery. Digital payments already**

carry 88% of orders; continue fee incentives for UPI users and monitor whether the remaining 12% cash share keeps shrinking, since that improves cash flow and reduces payment failures.

All figures in this report come from the company's verified dashboards (Revenue Overview, Category Performance, Customer Insight, Operations, and Inventory Alert) built on the cleaned Phase 1-3 datasets.